SIMULATED • SYNTHETIC

Project Meridian

IT separation: Day 1, TSA exit and value delivery

Investment committee discussion | 9 July 2027

Buyer-side separation plan with a distinct synthetic Alder diligence case

Separate annual run-rate target (£13.7m) from one-time cost (£12.8m)

Decision: proceed with the buyer-side separation plan, with gated approvals on readiness and exit dependencies.

DAY 1 READINESS	BRIDGE A: TARGET / YEAR	ONE-OFF SEPARATION COST	ONE-TIME COST TO SEPARATE	PEAK MONTHLY TSA
60%	£13,668,660	£7,839,000	£12,792,270	£500,430
8 open No-go gates	After identified synergies	Sum of three waves	One-off + TSA fees	Buyer-side run-off

- Disposition covers 60 applications; critical apps without a plan: 0.
- Bridge A starts at £13,227,000, adds dis-synergy and subtracts £1,482,500 identified annual synergies to reach the target.
- One-time cost to separate (one-off + TSA) is £12,792,270, including £4,953,270 in planned buyer TSA fees.
- Listed Alder flag ranges sum to £3.4m–£6.7m in synthetic value at risk.

Alder diligence: 5 material risks need price and remediation protection

ID	Theme	Value at risk	Recommended response
RF1	Cyber and resilience	£700,000–£1,400,000	SPA protection
RF2	Infrastructure and cloud	£1,200,000–£2,200,000	price adjustment
RF3	Applications and product health	£600,000–£1,200,000	100-day action
RF4	Vendors and contracts	£500,000–£1,000,000	price adjustment
RF5	Data	£400,000–£900,000	100-day action

Domain view

- Applications and product health — Amber
- Infrastructure and cloud — Red
- Cyber and resilience — Red
- Data — Amber
- Vendors and contracts — Amber
- IT organisation — Amber
- IT cost trajectory — Green

Listed flag ranges sum to £3,400,000–£6,700,000. Separate Project Alder case.

Management questions

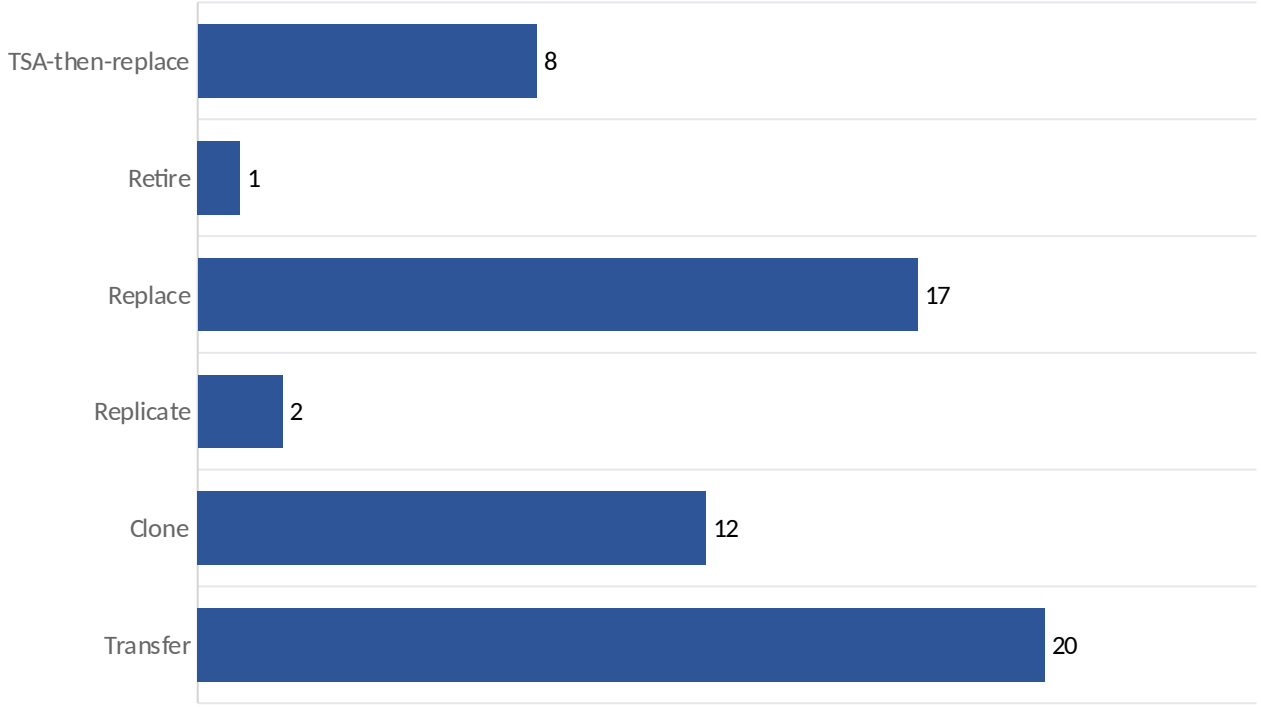
Q1 What evidence supports the current disaster recovery coverage and privileged access model and which remediation is committed before completion?

Q2 Which production workloads remain on end-of-support infrastructure and what validated cloud exit plan and dual-running cost have been approved?

Q3 How much engineering capacity is consumed by defect remediation and which roadmap commitments depend on the undocumented interfaces?

Transfer is the largest path; keep 8 shared apps on a TSA exit path

Use the disposition mix to sequence licence, data and operating-model decisions; TSA-then-replace applies to shared applications.



APPLICATIONS

60

Every app has a disposition

SHARED TSA-THEN-REPLACE

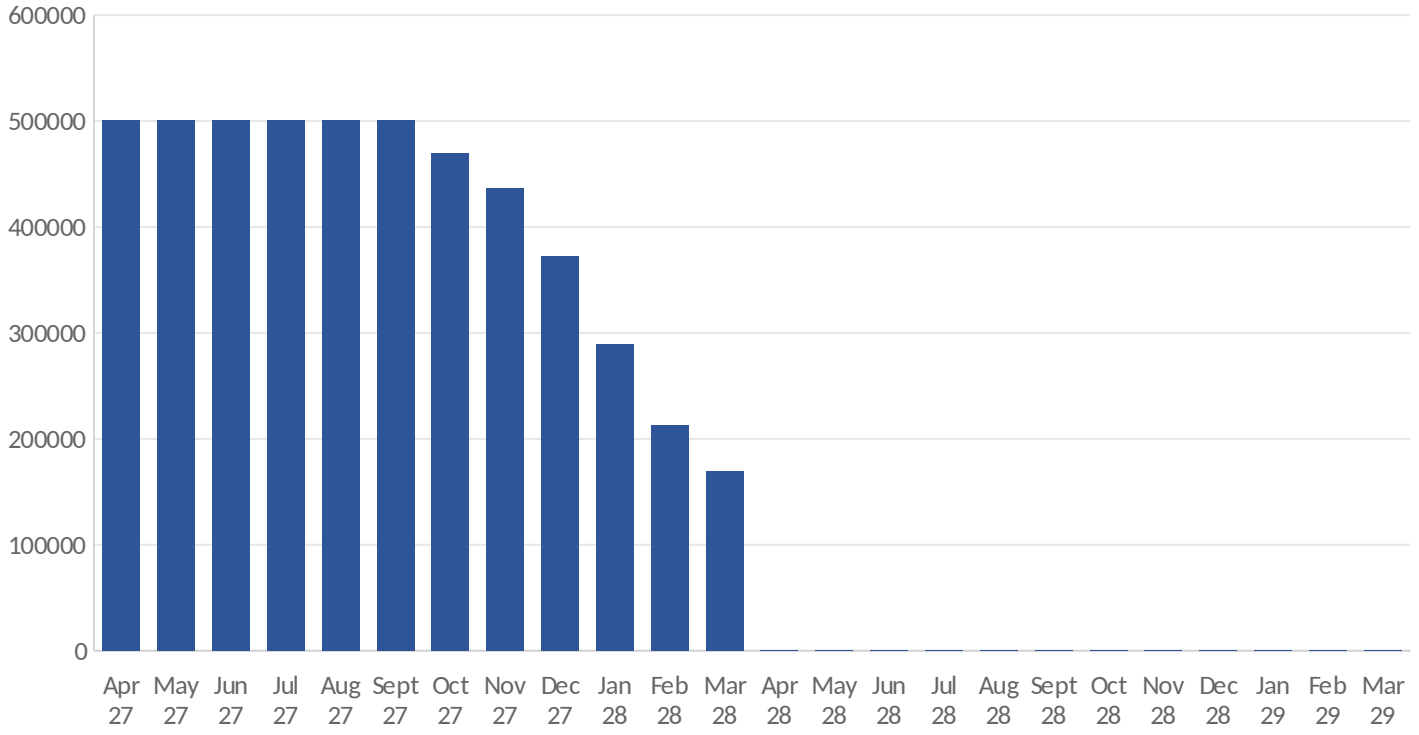
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TSA scope is not an app count

Critical apps without a plan: 0

Buyer TSA cost is front-loaded; control service exits against dependency dates

Buyer-side planned term cost £4,953,270; monthly run-off peaks at £500,430. Four reverse lines are shown separately in the workbook and excluded here.



EXIT LINES

31

Buyer side only

RED FLOAT

2

Float under 30 days

DAY 1 DESIGN CLAMPS

0

Design date raised to Day 1

Day 1 readiness is 60%; close 8 No-go gates before cutover

The remaining work is concentrated in readiness evidence and controlled TSA transitions. Cutover dates below come from the buyer Exit_Plan.

Priority workstream	Ready	Open No-go
Identity and email	60%	1
Vendor consents	75%	1
Legal entity and licences	100%	0
Data separation	50%	1
HR	75%	0
Finance and payroll systems	50%	1

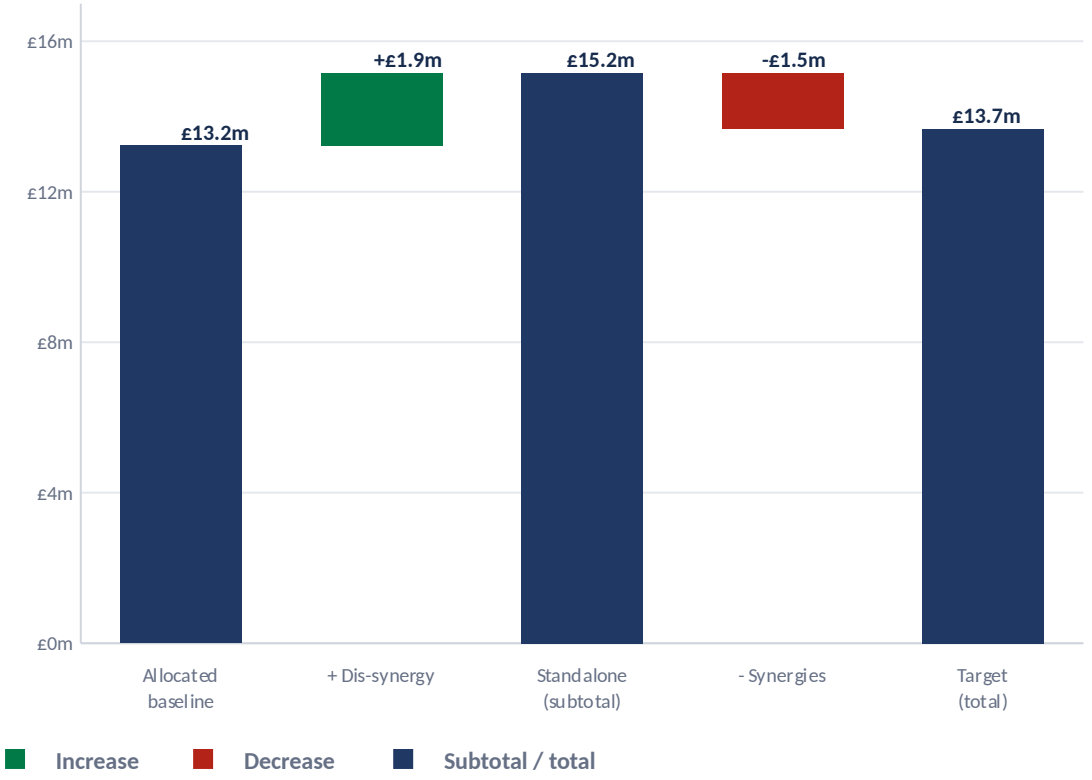
TSA	Next buyer cutovers	Date	RAG
TSA04	Indirect tax compliance support	31 Aug 2027	Amber
TSA08	People analytics data transition	31 Aug 2027	Amber
TSA11	Manufacturing planning analytics support	31 Aug 2027	Amber
TSA17	Portfolio management support	31 Aug 2027	Amber
TSA19	Vulnerability management support	31 Aug 2027	Amber
TSA24	Finance application managed support	31 Aug 2027	Amber

8 OPEN NO-GO GATES

Gate progress is an execution constraint; service cutover dates remain planned until their evidence is accepted.

One-off separation £7.8m; one-time cost to separate £12.8m

Bridge A | Steady-state annual IT run-rate (synthetic)



Bridge B | Day 1 to planned TSA exit (synthetic)



One-time cost to separate (one-off + TSA) includes planned buyer TSA fees. TSA fees replace standalone run cost for covered services during the TSA period; they are not added to the run-rate.

SYN13 shares apps with SYN10 and SYN12 by design: process savings, not tool savings.

Use the first 100 days to validate exits, rehearse cutovers and lock decisions

Milestones sequence from Day 1 mobilization through first exit rehearsals; dependencies trace to TSA, app or milestone IDs.

Phase	ID	Workstream	Day	Dependency
Day 1	MS01	Applications	1	TSA01
Days 2-30	MS07	Applications	8	MS01
Days 31-60	MS15	Applications	35	TSA22
Days 61-100	MS23	Applications	62	MS15

Decisions needed now

1. Approve the remaining Day 1 gates and named evidence owners.
2. Confirm TSA dependency owners and escalation dates for red or clamped exits.
3. Fund the standalone cost gap and one-off plan; track identified synergies separately.
4. For Alder, require recovery evidence, cloud exit cost and product remediation commitments.